

STOCHASTIC TRADING STRATEGY

IDENTIFY MARKET TURNING POINTS WITH ACCURATE
PRECISION WITH THIS STRATEGY



TRADING STRATEGY GUIDES.COM

The Best Stochastic Trading Strategy

Daytrading with the best Stochastic Trading Strategy is the name of the strategy we'll discuss today. As the name suggests this is a stochastic strategy suitable for daytraders. The stochastic strategy is much the same as the [Day Trading Price Action- Simple Price Action Strategy](#) but the only notable difference is that this time around, we incorporate into our strategy a technical indicator, namely the stochastic indicator. This is the best Stochastic trading strategy because you'll be able to identify market turning points with an accurate precision.

Warning! This can turn you into a modern sniper elite trader.

We at Trading Strategy Guides.com looking forward to develop the most comprehensive library of Forex trading strategies that can really help turn your trading around.

The favorite time frame for the Best Stochastic Trading Strategy is the 15-minute chart because we have took the time to backtest best Stochastic Trading Strategy and the 15-minute TF came over and over again. If you're a daytrader this is the perfect strategy for you. The stochastic strategy evolved into being one of the best stochastic strategies



because, despite the stochastic indicator being a very popular indicator among traders, they have been using it the wrong way.

Our team at **Trading Strategy Guides.com** interprets the charts and the indicators in an unorthodox way, but at the same time, it's very productive.

Daytrading might not be your thing, but perhaps you're interested in trading on the higher time frames, like the daily chart. Don't panic, we have your back, our favorite [MACD Trend Following Strategy](#) is the best trend following strategy. For every Forex strategy, we at **Trading Strategy Guides.com** have developed we make sure we leave our own signature and make it simply the best.

Now...

Before we move forward, we must define the indicators you need for daytrading with the best Stochastic Trading Strategy and how to use stochastic indicator

The only indicator you need is the:

Stochastic Indicator: The stochastic indicator was developed by George Lane more than 50 years ago. The reason why the stochastic indicator survived for so many years is because of the popularity of this indicator and also because it continues to show consistent signals even in this current time.

Without further ado, let's move straight to the point and:



- Define what is the Stochastic indicator;
- How to use Stochastic indicator;
- What are the Stochastic indicator settings;

The Stochastic indicator is a momentum indicator that shows you how strong or weak the current trend is. It helps you identify overbought and oversold market conditions within a trend. The stochastic indicator should be easily located on most trading platforms.

The Stochastic indicator looks like this:



After extensive research and backtesting we've found that the stochastic indicator is more suitable for daytrading while indicator like the MACD are more suitable for swing

trading. You should really check out our amazing [MACD Trend Following Strategy](#) that we decided to share with our trading community only recently.

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Another reputable oscillator is the RSI which is similar to the Stochastic indicator but we chose it over the RSI indicator because the Stochastic indicator puts more weight on the closing price which by the way is the most important price no matter what market you trade.

Let me just quickly tell you how to use stochastic indicator and how to interpret the information given by this amazing indicator so you can know what you're trading. When the stochastic moving averages are above the 80 line, we're in overbought territory; conversely, when the stochastic moving averages are below the 20 line, we're in oversold territory.

Please have a look at the chart example below to see how to use stochastic indicator.





So, how does the stochastic indicator work?

The stochastic oscillator uses a quite complex mathematical formula to calculate the moving averages:

$$\%K = 100(C - L_{14}) / (H_{14} - L_{14})$$

Where:

- C = the most recent closing price
- L₁₄ = the low of the 14 previous trading sessions
- H₁₄ = the highest price traded during the same 14-day period
- %K = the current market rate for the currency pair
- %D = 3-period moving average of %K

See below where to locate the %D and %K lines:



The mathematical formula behind the Stochastic indicator works on the assumption that the closing prices are more important in predicting oversold and overbought conditions in the market. Based on this assumption the Stochastic indicator can give you the best signals you can find.

What about the stochastic indicator setting?

The default settings for the stochastic indicator are 14,3,3

See below:

Inputs Style X

Length 14

D 3

K 1

Defaults ▼

OK Cancel

Now, before we go any further, we always recommend taking a piece of paper and a pen and note down the rules.

Let's get started.....

Daytrading with the best Stochastic Trading Strategy

(Rules for a Buy Trade)

Step #1: Check the daily chart and make sure the Stochastic indicator is below the 20 line and the %K line crossed above the %D line.

Did you notice what we have done here?

We're daytrading, but having in mind the higher time frame sentiment and trend. This is a crucial part of the strategy because we only want to be trading in the direction of the higher time frame trend. Our team at **Trading Strategy Guides.com** has put a great deal of time in developing the best guide to [Trading Multiple Time Frames - The Key to Successful Trading](#). The multiple time frame concept is important because it can give you a more robust reading of the current price action and more it can help you better time your entry and exit points.



Note*: On the daily chart, it's not necessarily for the stochastic moving averages to be below the 20 level. They can be moving away from the oversold territory and the signal can still be valid, but it shouldn't be above 50 level.

Step #2: Move Down to the 15-Minute Time Frame and Wait for the Stochastic Indicator to hit the 20 level the %K line(blue line) crossed above the %D line(orange line).

This step is similar to the previous rule, but this time we apply the rules on the 15-minute time frame: wait for the Stochastic indicator to hit the 20 level and the %Kline (blue line) is crossing above the %D line (orange line). The 15-minute chart is the best time frame for daytrading because is not too fast and at the same time not too slow.

See figure below:





It is said that the market can stay in overbought and oversold condition longer than a trader can stay solvent. So we want to take precautionary measures and this brings us to the next step on how to use stochastic indicator.

Step #3: Wait for the Stochastic %K line (blue moving average) to cross above the 20 level

We want to trade smarter, right?

Well, because the %k is the fast moving average it's enough to just wait for it to cross above the 20 level because the %D line will follow suit. We don't want to wait too much either as this will result in reduced profit margin.



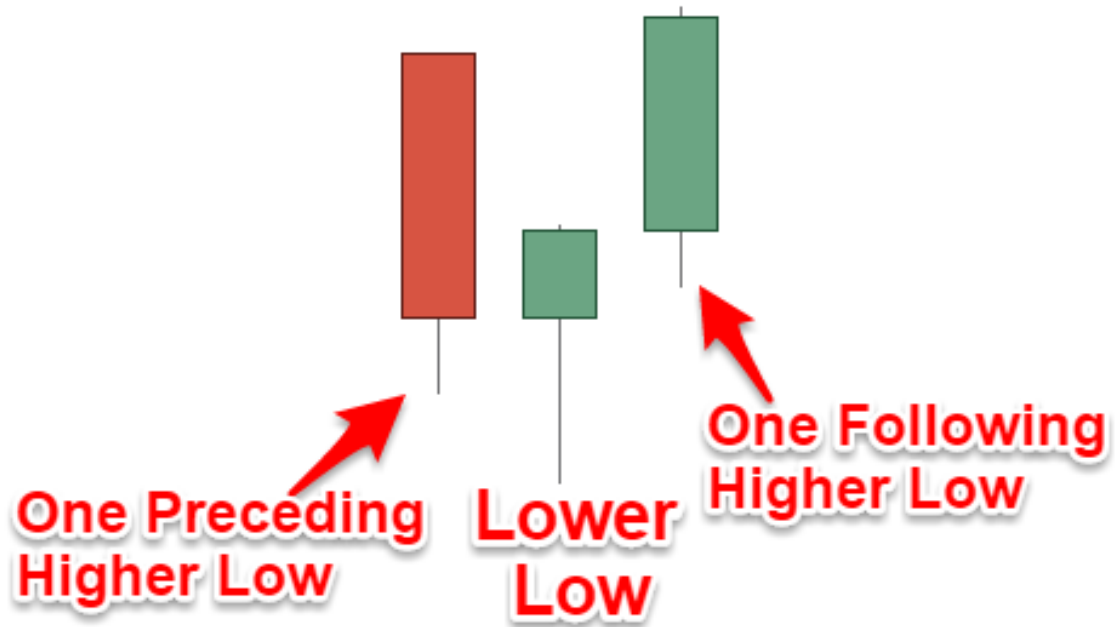
Right now is the time you should switch your focus to the price action, which brings us the next step of the best stochastic trading strategy.

Step #4: Wait for a Swing Low Pattern to develop on the 15-Minute Chart

What is a **Swing Low Pattern**?

A Swing Low Pattern is a 3 bar pattern and is defined as a bar that has one preceding and one following bar with higher low.

A visual representation of the Swing Low pattern can be seen below:



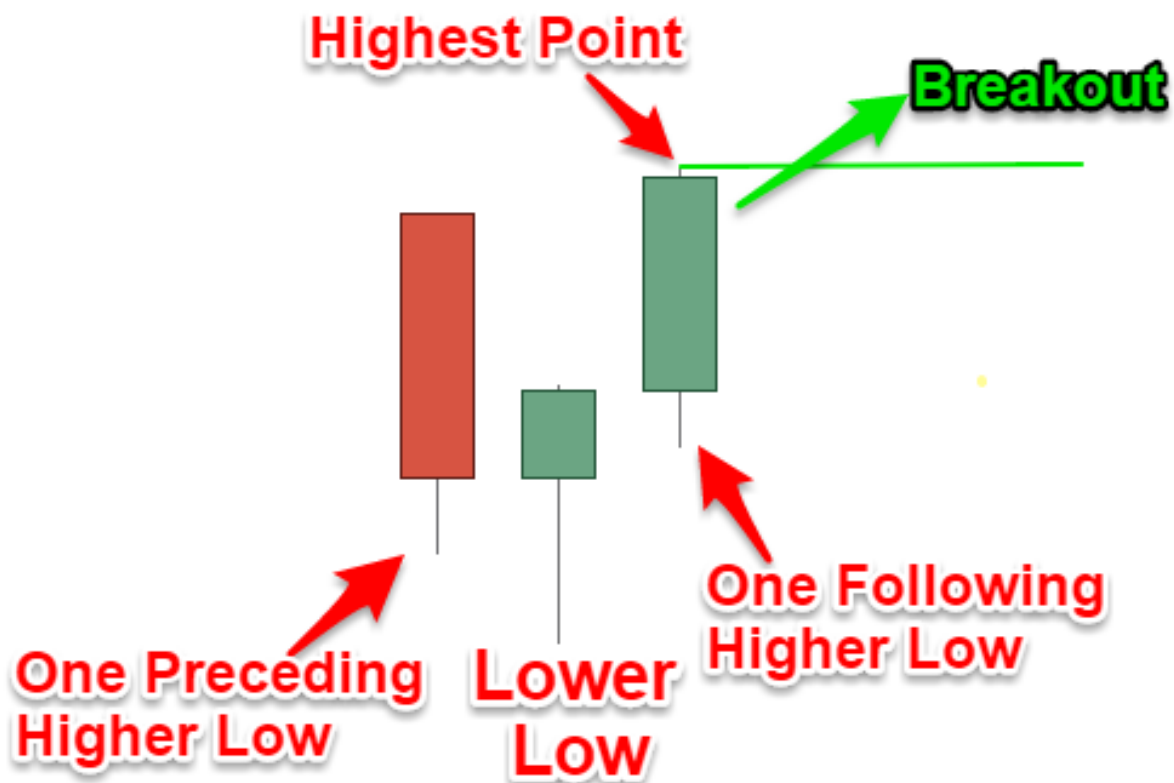
So far, so good, but still we haven't answered to the most important question that a trader has:

When to enter?

This brings us to the next rule of the Best Stochastic Trading Strategy.

Step #5: Entry Long When the Highest Point of the Swing Low Pattern is Broken to the Upside

Nothing beats an illustration...



So, after following the rules of the **Best Stochastic Trading Strategy** a buy signal is only triggered once a breakout of the **Swing Low Patterns** occurs.

Let's turn our focus again to the EUR/USD 15-minute chart presented earlier and see how to use stochastic indicator in combination with the **Swing Low Pattern**.

See chart below:



So at this point your trade is running and in profit.

Step #6: Use Protective Stop Loss placed below the most recent 15-minute Swing Low

You want to place your stop loss below the most recent low, like in the figure below. But make sure you add a buffer of 5 pips away from the low, to protect yourself from possible false breakouts.



Step #6: Take Profit at 2xSL

Knowing when to take profit is as important as knowing when to enter a trade. The Best Stochastic Trading Strategy uses a static take profit, which is two times the amount of your stop loss.

See figure below:

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Note** The above was an example of a buy trade using the Daytrading with the Best Stochastic Trading Strategy. Use the exact same rules – but in reverse – for a sell trade. In the figure below you can see an actual SELL trade example using the Best Stochastic Trading Strategy.



We've applied the same **Step #1** through **Step#4** to help us identify the SELL trade and followed **Step #5** to trigger our trade (see next figure).



Conclusion:

Daytrading with the **Best Stochastic Trading Strategy** is the perfect combination between how to correctly use stochastic indicator and price action. The success behind the Best Stochastic Trading Strategy is derived from knowing to correctly read a technical indicator and at the same time make use of the price action as well.

Our team at **Trading Strategy Guides.com** doesn't claim to be perfect, but we have a solid understanding of how the market works. For those of you who are not fans of lower time frames, we recommend the "[Fibonacci Retracement Channel Trading Strategy](#)" which can be more suitable for your trading style.

Below are a few more examples of this trading strategy for you to see.

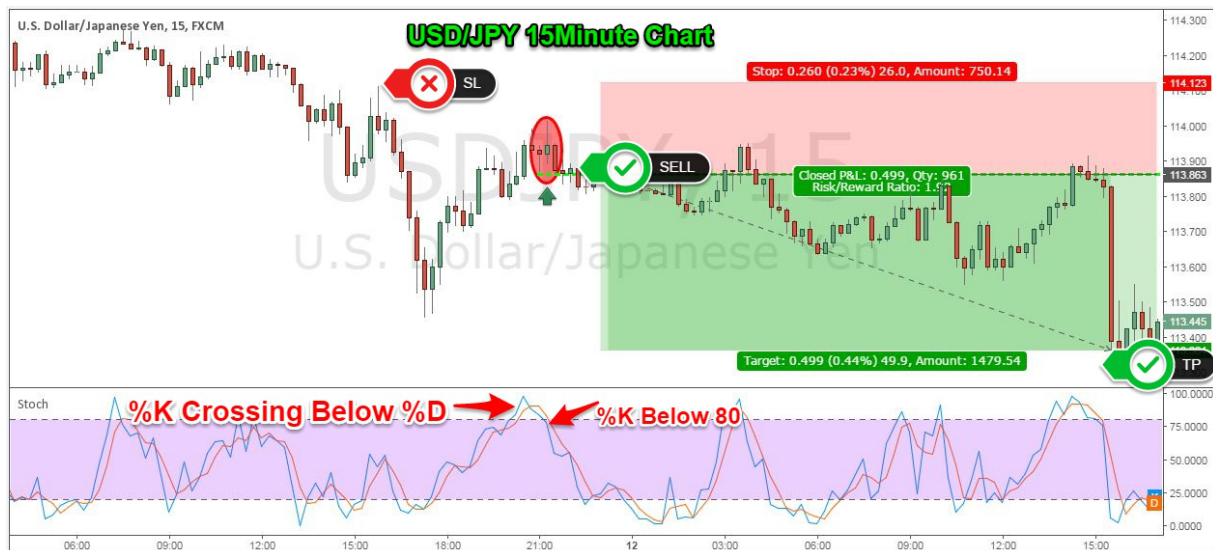


Trade Examples for Stochastic Trading Strategy:

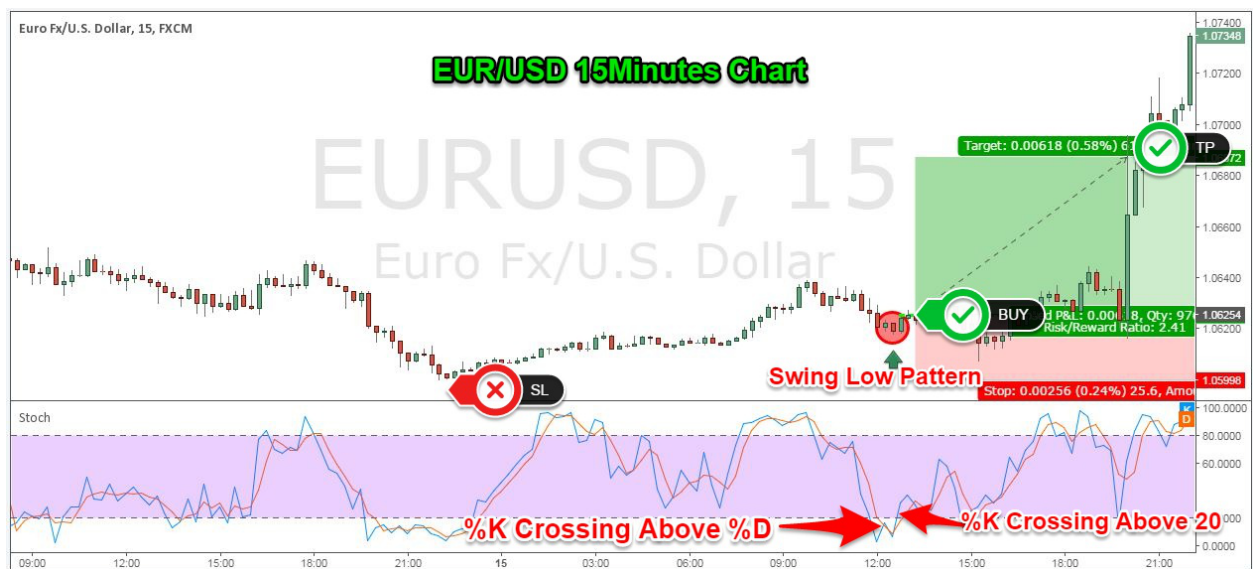
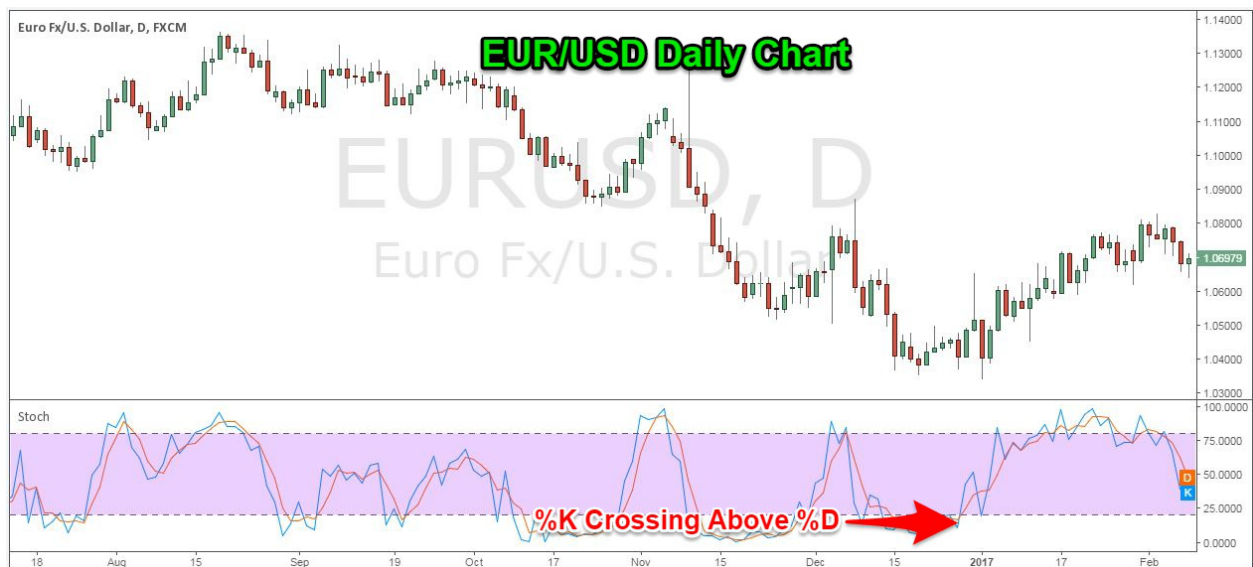
AUD/USD Long Trade Example



USD/JPY Short Trade Example



EUR/USD Long Trade Example



Please be sure to check out or blog: <http://www.tradingstrategyguides.com/blog/> for other great trading strategies for you to learn.

We also have developed indicators that come from our most popular trading strategies. You can Learn more about there by visiting: <https://info.tradingstrategyguides.com/pricing-page>

Have a great day!

-Trading Strategy Guides



Our Team offers a Variety of Indicator Plug-ins and Trading Course for ALL market Traders:



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We hope that you enjoyed this Strategy!

